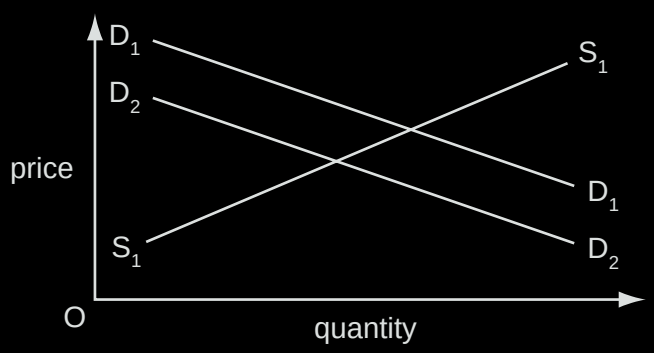


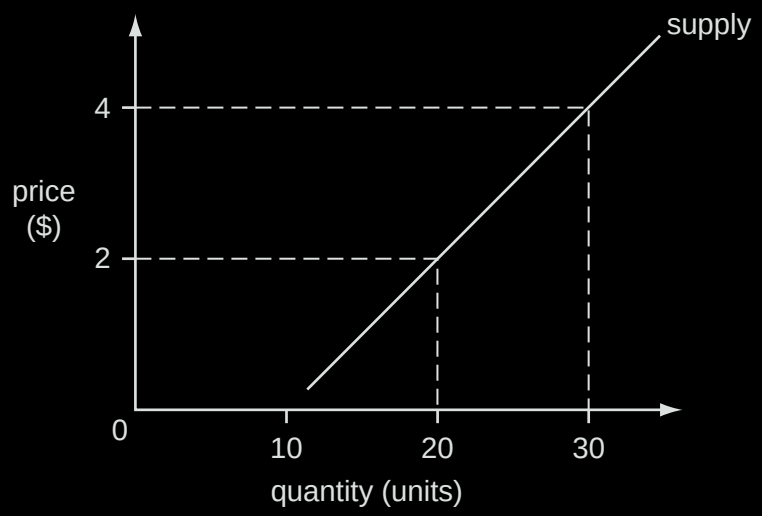
What has increased?

A the cost of advertising to the company

B the cost of advertising to a rival company

C the expenditure on advertising by the company

D the expenditure on advertising by a rival company



What is the price elasticity of supply when the price rises from $2 to $4?

A 0.2 **B** 0.5 **C** 1 **D** 2